

adverse developments by confining his industrial selections to companies which meet the two requirements of (1) dominant size and (2) substantial margin of earnings over bond interest.

III. THIRD PRINCIPLE: UNSOUND TO SACRIFICE SAFETY FOR YIELD

In the traditional theory of bond investment a mathematical relationship is supposed to exist between the interest rate and the degree of risk incurred. The interest return is divided into two components, the first constituting "pure interest"—*i.e.*, the rate obtainable with *no* risk of loss—and the second representing the premium obtained to compensate for the risk assumed. If, for example, the "pure interest rate" is assumed to be 2%, then a 3% investment is supposed to involve one chance in a hundred of loss, while the risk incurred in an 7% investment would be five times as great, or 1 in 20. (Presumably the risk should be somewhat less than that indicated, to allow for an "insurance profit.")

This theory implies that bond-interest rates are closely similar to insurance rates, and that they measure the degree of risk on some reasonably precise actuarial basis. It would follow that, by and large, the return from high- and low-yielding investments should tend to equalize, since what the former gain in income would be offset by their greater percentage of principal losses, and *vice versa*.

No Mathematical Relationship Between Yield and Risk. This view, however, seems to us to bear little relation to the realities of bond investment. Security prices and yields are not determined by any exact mathematical calculation of the expected risk, but they depend rather upon the *popularity* of the issue. This popularity reflects in a general way the investors' view as to the risk involved, but it is also influenced largely by other factors, such as the degree of familiarity of the public with the company and the issue (seasoning) and the ease with which the bond can be sold (marketability).

It may be pointed out further that the supposed actuarial computation of investment risks is out of the question theoretically as well as in practice. There are no experience tables available by which the expected "mortality" of various types of issues can be determined. Even if such tables were prepared, based on long and exhaustive studies of past